

Risky business

When it comes to the stock market it's important to understand the levels of risk involved. No investment type is completely risk-free, not even a trusty blue-chip stock (those stable companies we all love, like Coca-Cola and Disney). The important thing about investing is aligning the risk of the types of investments to your personal risk tolerance (which you can work out with the quiz in 'Putting it all together'). It's all about doing what helps you sleep easier at night.

Risks based on macro and micro factors

There are a number of risks involved in investing:

- **market risk:** the risk that your stocks might drop in value due to something affecting the market, for example, shares fluctuating (equity risk) or interest rates fluctuating (interest risk) or the possibility of exchange rates changing (currency risk)
- **liquidity risk:** the risk that it's difficult to sell your shares when you want to
- **concentration risk:** accidentally keeping all your eggs in one basket (e.g. just owning airline stocks when a pandemic hits)
- **credit risk/default risk:** the risk that the company you give money to (e.g. as a bond or if you lend money to a startup) can't pay you back
- **reinvestment risk:** if you reinvest the money you made with your original profits, but your profits now come at a lower rate (this usually happens with bonds)
- **inflation risk:** the risk of your investments not keeping up with inflation
- **horizon risk:** the risk that your investing goals change (e.g. losing a job and needing the money sooner)
- **longevity risk:** the risk of outliving your savings
- **foreign exchange risk:** the risk of investing in a country outside of your own; this covers currency risk, interest rate risk and political